a magnificent job and in time will build a genuine management team around him so that such a jolt to the existing organization will never again become necessary. Consequently, in time such a stock may become one worthy of a wise investor. But such rebuilding can be so long and risky a process that, if an investor finds this sort of thing happening in one of his holdings, he will do well to review all his investment activities to determine whether his past actions have really been proceeding from a sound base.

The company with real investment merit is the company that usually promotes from within.

A worthwhile clue is available to all investors as to whether a management is predominantly one man or a smoothly working team (this clue throws no light, however, on how good that team may be). The annual salaries of top management of all publicly owned companies are made public in the proxy statements. If the salary of the number-one man is very much larger than that of the next two or three, a warning flag is flying. If the compensation scale goes down rather gradually, it isn't.

For optimum results for the investor it is not enough that management personnel work together as a team and be capable of filling vacancies above them. There should also be present the greatest possible number of those "vivid spirits" of Ed Heller's—people with the ingenuity and determination not to leave things just at their present, possibly quite satisfactory, state but to build significant further improvements upon them. Such people are not easy to find. Motorola, Inc. has for some time been conducting an activity that the financial community has paid little or no attention to that indicates it is possible to accomplish dramatically more in this area than is generally considered possible.